

UTT Chapter 05 Assignment

Hey friend!

My life has been pretty crazy over the last few weeks! Midterms are intense around here, even though I'm only a freshman. For some reason, the teachers think it's okay if they assign a bunch of homework on top of all the studying we have to do for their midterms! I think one of my most difficult classes is gonna be economics. We have to know quite a few of the major economists in addition to what their contributions were. I have trouble keeping their names and dates straight. We also have to know a bunch of equations and graphs. It will be rough.

My last Econ class was really interesting though. We talked about the effects of price ceilings and floors on supply and demand. Apparently, if the government places a ceiling, or a maximum legal price for a good, in a market where the actual value of that product is more than the ceiling, it creates all kinds of problems. The demand will exceed the supply, and a shortage will occur. Sometimes black markets even result. Then with price floors, such as minimum wage, lots of people lose their jobs because companies can't afford to hire as many people since their skills are not worth the price set by the floor. If that whole discussion confuses you, you're not alone. I think I have a grasp on the general idea, but the specifics can get kind of confusing for me.

We did have an interesting discussion about all that in class though, which is why I told you about it. There's a guy in my class named Mark, and he disagreed with most of what the professor has said so far. During this last discussion, he kept piping up and saying things like, "If we just made it to where everyone earned the same amount of money, we wouldn't have problems with price floors and minimum wage." And "I don't see the problem with ceilings. If the government mandated that all producers had to set their prices the same, we'd get rid of all these supply and demand complications, and capitalists wouldn't take everyone's money because of unfair pricing!"

He keeps talking about this guy named Lenin. I totally embarrassed myself by saying, "Wait, I didn't know John Lennon was an economist!" Everyone laughed at me. Apparently it's a different Lenin . . . shows how much I know. He also quotes someone named "Marx" who apparently formulated a whole worldview called "Marxism." I'm assuming you've heard of this guy. **What does Marxism teach?** I'm guessing there is more to it than just economics. **What does Marxism say about humanity?** And **what does Marxism say is wrong with us?** Finally, **what does Marxism say about how we should live?**

Thanks so much for helping me with my questions . . . again! I feel like I can speak more intelligently with my friends after I get your letters back. I look forward to your answers on this one!

Gotta go! Bye!

-Doug